any chance for a profit. Pickens was incensed. He called Gulf's chief executive Jimmy Lee to see what he knew about Cities' proposal. Lee told Pickens that he wasn't aware of any proposal. He also told Pickens that Gulf was stretching to get to $63 per share for Cities and they weren't interested in Mesa. Pickens let Lee know that he would try to spoil Gulf's offer for Cities if Cities couldn't be persuaded to drop its bid for Mesa. Shortly after the conversation Cities' lawyer called back to offer to buy out Mesa's position for $55 per share, $8 per share less than Gulf's offer. Knowing that Gulf's offer was shaky, Pickens accepted. After costs, Mesa had made a $30 million profit on its position in Cities, representing a 25 percent return. It wasn't the blockbuster Pickens was hoping for, but it was solid return for the time spent. Six weeks later, Gulf pulled its offer for Cities and the stock crashed to the low $30s, below its pre-bid market price and effectively demonstrating the value of competition for control.

After the Cities bid, Pickens made several runs at undervalued oil companies, and lurked on the edge of several other contests. In each case, he was simply "an investor looking for a place to make a buck,"[15] and using the restructuring in the oil industry to do so. All of these smaller transactions were only "warm-ups . . . for the main event."[16] Pickens' next deal would be the most highly publicized of his career. It would, in his view, change the "whole dynamics of mergers and become a landmark in the history of acquisitions."[17] It was also the first time that Pickens would explicitly not seek control for its own sake, but to increase the share price by inducing the target to restructure or another acquirer to overbid Mesa's offer. The experience with Cities had prepared Mesa for something extraordinary, and the next project delivered on that promise.

Gulf Oil

Little Mesa Petroleum's run at the colossal Gulf Oil—20 times its size—was a takeover contest representative of the 1980s. Mesa's bid would lead to the largest corporate merger ever up to that time, and demonstrate that sheer size alone wasn't enough to protect an entrenched and underperforming management. Gulf had assets worth $20 billion, and earned $6.5 billion in profit on $30 billion in annual revenues. With a $7 billion market capitalization, it traded on an incredibly low price-to-earnings multiple of just over 1. It was even more undervalued than Cities. The conventional view was this was warranted because its enormous size protected it from hostile takeover. It was safe from corporate raiders and its share price therefore contained no takeover premium. Where analysts believed that Gulf was a highly risky proposition, Pickens saw that its huge discount limited his downside, and presented the potential for a very good return. As a deeply undervalued